

Redwood Capital Management

300 Sand Hill Rd, Menlo Park, CA 94025 | Confidential Internal Document

OPERATIONAL CRISIS BRIEFING

Period Ending: August 01, 2025 | Report ID: RPT-CRIT-4177132

EXECUTIVE SUMMARY

Modest revenue underperformance of 7% against target, attributed to delayed product launches and lower-than-projected conversion rates in the SMB channel. EBITDA margin has declined modestly. While not yet at crisis levels, management is implementing targeted corrective actions including sales force restructuring and renewed focus on the enterprise pipeline.

KEY PERFORMANCE INDICATORS

Metric	Current Period	Prior Period	Variance	Status
Revenue (\$M)	124.08	133.42	-7%	Below Target
EBITDA Margin (%)	13.1	16.2	-3.1 pts	Below Target
Customer Retention (%)	70.1	75.3	-5.2%	Below Target
New Customer Acquisition	217	231	-14	At Risk
Employee Satisfaction	57/100	73/100	-16 pts	Below Target

RECOMMENDED CORRECTIVE ACTIONS

- Accelerate the product roadmap for the top three revenue-generating SKUs, reallocating R&D; budget from lower-priority initiatives to reduce time-to-market by an estimated 3 months.
- Renegotiate payment terms with the top five suppliers, targeting net-60 terms to improve near-term working capital position by an estimated \$4–6M.
- Launch an emergency win-back campaign targeting churned customers from the past 12 months, with tailored pricing incentives pre-approved by the CFO.
- Conduct a zero-based budgeting exercise across all cost centres, with a minimum 10% reduction target for all non-essential operating expenditure in Q4.
- Brief the Board's Audit Committee on the financial restatement risk identified in Q2 and engage external legal counsel to assess exposure.

Prepared by: Takashi Mori, VP of Financial Planning & Analysis
Approved by: _____ | Date: August 05, 2025

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